

URA MOBILE PAYMENT

Determined to make it easier for the tax payers to fulfill their tax obligations, Uganda Revenue Authority (URA) has unveiled yet another innovation under the eTAX system—where you can now use your Mobile phone to clear your tax obligations.

The Commissioner Domestic Taxes, Moses Kajubi explains how the Mobile tax payment works and how you can specifically benefit out of this innovation and the advantages it renders to the economy as a whole.

How does the Mobile Money tax payment innovation—using mobile phones to pay taxes exactly work?

It is a simple process. If you have any tax to pay and it is below Shs3million please proceed as below:

Using a phone handset, a taxpayer will access URA Services menu. They will be provided two options; registered and unregistered payment option. Registered Payments refer to payment previously registered on URA's existing e-Payment platform which would like to use the Mobile platform for settlement of liability. Unregistered payment refers to a standard, known fee, whose payment is initiated, processed and completed on the Mobile Payment platform.

Why Should I care to pay taxes through SMS and not any other method?

Mobile Payment of taxes is meant to simplify your life as a taxpayer. We appreciate that your busy attending to other businesses as well. So we want to make it easy and instant.

For example if you have been issued with a Police Express Penalty Ticket, then with this system—Warid-Mobile solution all you need is to have the police sticker pay instantly. Within five minutes the Police can run a report to confirm the payment. At this point you may be released without the hassles of going to a police station or the Bank. In other words the anticipated impact is faster, easy to use and convenient.

What kind of taxes can be paid through this method?

All taxes can be paid using this payment method.

We have only set a maximum limit of Shs3 million for a start. This will be revisited upwards in the future. This method is also looking at taxpayers who have small taxes to pay for example Shs3m and below. We are also looking at non tax revenues such as Police Express Penalties, Driving Permits, Motor Vehicle transfers and many others which may be Shs3m or below.

Closely related to above, who are your particular target audience?

The target audience is largely defined by urgency, convenience and speed. Various taxpaying persons would therefore fit the bill. For example the clearing Agents at a remote border station; SME's with limited staff and no one to leave at business premises while processing tax payments; traffic offenders constrained by time wishing to settle obligations

Who takes the cost of the SMS?

The transactions involve several SMS whose costs will in SOME cases be borne by the user of the service and in other cases the Mobile Service Provider;

How important is this to me and the country's a bid to widen the revenue base?

First the major objective is to make it simple, easy and quick for the taxpayer to settle his/her obligations to URA. However voluntary compliance is sometimes hindered by cost and difficulty in being compliant. It

is hoped that the ease, convenience, ubiquity of the service and speed of the mobile transactions will increase revenue.

If it turned out to be effective, what is the projected revenue this method could collect?

This platform has a potential to at least collect between Shs10—20billion every month and an average of more Shs100billion.

You are partnering with one Telecom Company and one financial institution, why is this the case?

The word goes that the early bird catches the worm. We called all Mobile Money Operators and all Bankers and shared our vision to have a mobile money payment solution for taxes in August 2011. Warid Telecom and Orient Bank embraced the idea and developed the solution very fast. We credit them for this.

For now we encourage all people in Uganda to use the Mobile Solution Offered by WARID. In future when other mobile money suppliers come on board, we shall advise the public accordingly.

What is your last word?

Any more message to your tax payer?

We are moving the URA to a service oriented organization. We want to make it as simple as possible for people to honor their tax obligations. Our clients should spend more time attending to their core business and minimal time in the process of paying taxes.

We shall in due course introduce an e-motor vehicle registration system and an e stamp duty system. The two new systems will help us decentralize the provision of motor vehicle and stamp duty systems.

I encourage Uganda to embrace the new services offered by URA.

